Bridgepath Capital
Invest to Achieve

# Malawi Financial Market Update

Week ending 7 October 2022

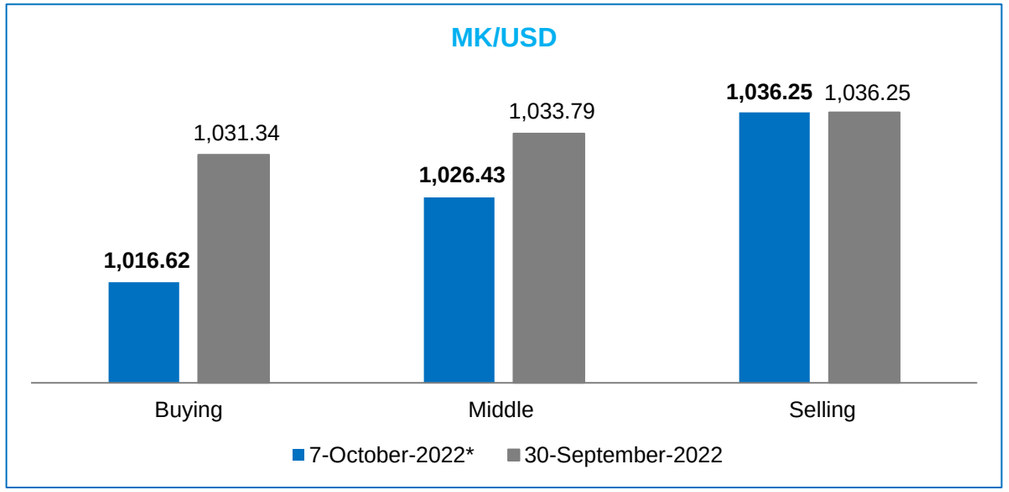
# Financial Market Update: Week ending 7 October 2022

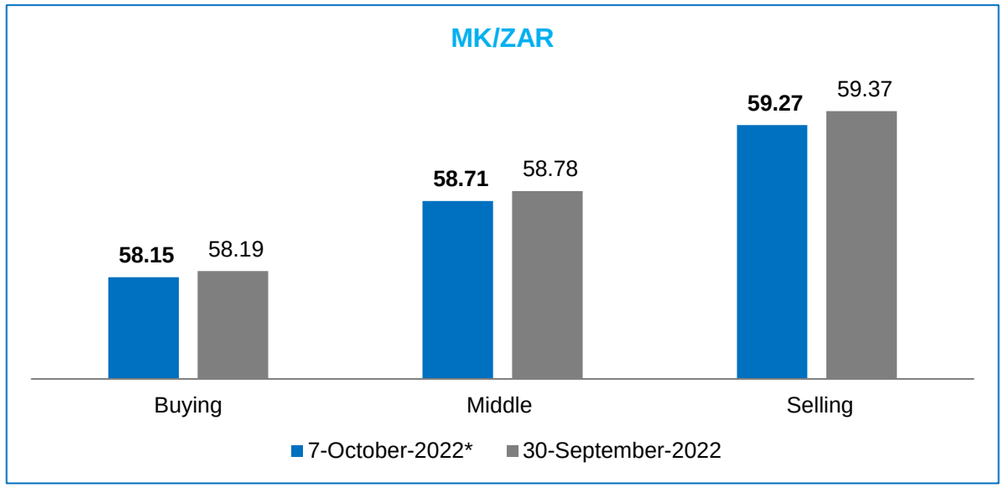
## Foreign currency market and other market developments (Source: RBM)

Bridgepath Capital
Invest to Achieve

*Week-on-week, the Malawi Kwacha marginally appreciated against the USD by 0.71% as it traded at MK1,026.43/USD as of 7 October 2022 from MK1,033.79/USD as of 30 September 2022.*

### Foreign currency (Source: RBM)




*: Reserve Bank of Malawi opening exchange rates as of 7 October 2022

### What Happened This Week

1. The World Bank has financed the Climate Smart Enhanced Public Works Programme (CS-EPWP) with USD128 million (MK131 billion). The programme is aimed at improving social and economic inclusion among the ultra-poor. The programme will be implemented from October 2022 to December 2024 (*The Daily Times, 3-Oct-22*).

2. The Reserve Bank of Malawi (RBM) has indicated that foreign exchange will be made available to facilitate fertilizer supply. The RBM indicated that fertilizer is among the priority products for foreign exchange allocation along with fuel and medicines. The RBM further indicated that facilities will be obtained from commercial banks for the purposes of fertilizer importation (*The Daily Times, 3-Oct-22*).

3. The Reserve Bank of Malawi (RBM) has justified the decision to maintain the policy rate at 14% as systematic and aimed at containing further pressure on the economy. The RBM further stated that although the decision is creating negative real rate perceptions of what the market offers, the decision has been guided by various other factors (*The Daily Times, 4-Oct-22*).

4. The government of Malawi and the International Monetary Fund (IMF) will engage in discussions from 5 October 2022 to 17 October 2022, aimed at reaching a Rapid Credit Facility (RCF) programme. The RCF provides rapid concessional financial assistance to low-income countries facing an urgent balance of payments need with no ex-post conditionality where a full-fledged economic programme is neither necessary nor feasible (*The Daily Times, 5-Oct-22*).

5. The Electricity Generation Company of Malawi (EGENCO) has indicated that the rehabilitation of the Kapichira Hydro Power Station is at 45%. The two-phased project covering the restoration of power generation and redesigning the dam structure to enhance resilience to floods is within its deadline (*The Nation, 6-Oct-22*).

# Financial Market Update: Week ending 7 October 2022

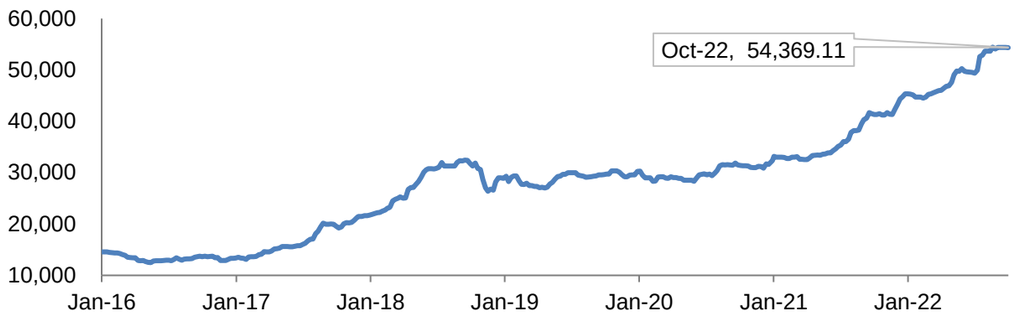
Bridgepath Capital
Invest to Achieve

## Stock market (Source: MSE)

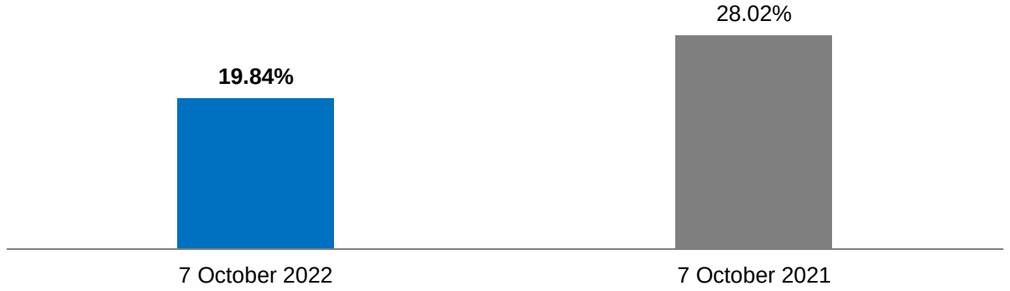
*The stock market was marginally bearish with the Malawi All Share Index (MASI) closing the week ending 7 October 2022 at 54,369.11 points from 54,389.92 points for the week ending 30 September 2022. Week-on-week, this represents a decrease of 0.04%.*

*There was a share price loss for OMU and marginal share price losses for TNM, FDH Bank, NBS and NITL during the period under review. The share price losses offset marginal share price gains for NBM, FMBCH, ILLOVO and Standard Bank during the period under review.*

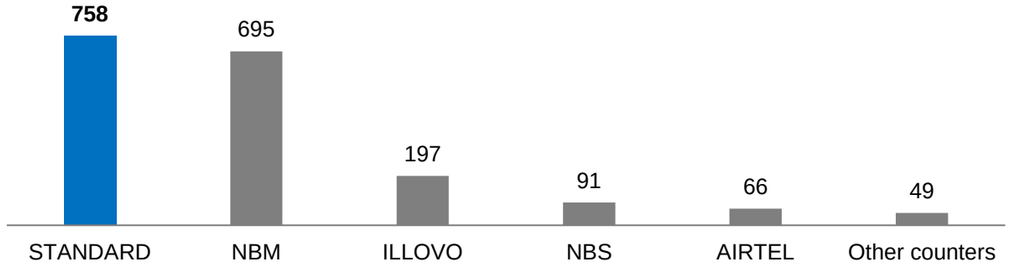
### Malawi All Share Index (MASI)



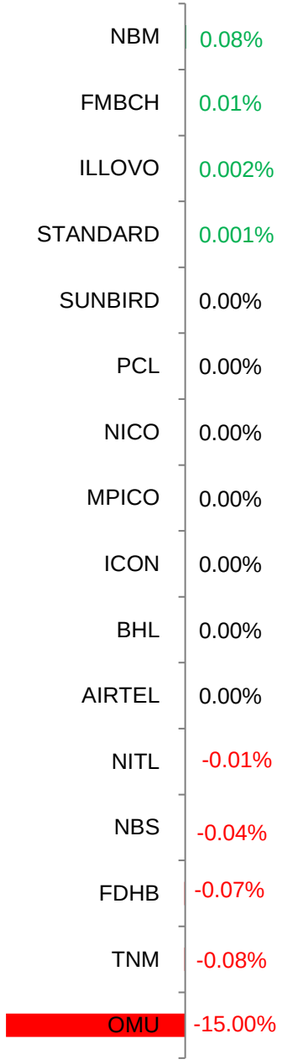

**MASI year-to-year-** the MASI closed the week with a year-to-date return of 19.84% (it was 28.02% during the same period in the previous year).




**Value of shares traded (MK'million) —** Standard Bank had the highest value of shares traded during the week under review at MK758 million. Total value of shares traded was MK1.9 billion.




### Week on week percentage change (%)




| Symbol | Closing prices as of 7 October 2022 (MK/share) |
|---|---|
| AIRTEL | 51.18 |
| BHL | 10.99 |
| FDHB | 14.98 |
| FMBCH | 100.06 |
| ICON | 11.97 |
| ILLOVO | 500.02 |
| MPICO | 20.67 |
| NBM | 1,161.00 |
| NBS | 22.65 |
| NICO | 50.96 |
| NITL | 111.99 |
| OMU | 1,359.99 |
| PCL | 2,181.41 |
| STANDARD | 1,840.12 |
| SUNBIRD | 80.02 |
| TNM | 12.00 |

# Financial Market Update: Week ending 7 October 2022

Bridgepath Capital
Invest to Achieve

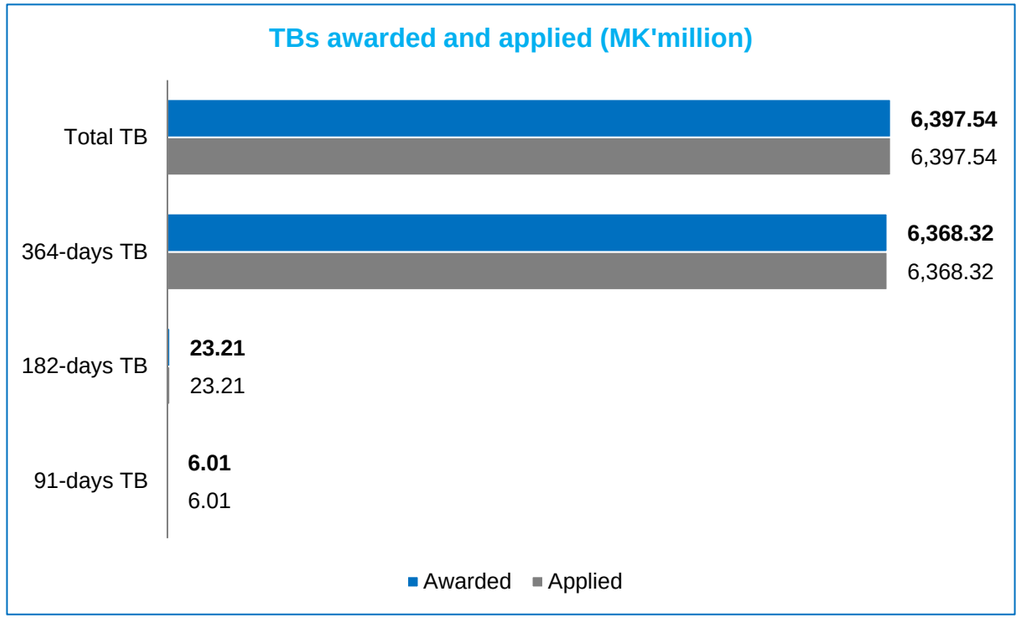
## Government securities (Source: RBM)

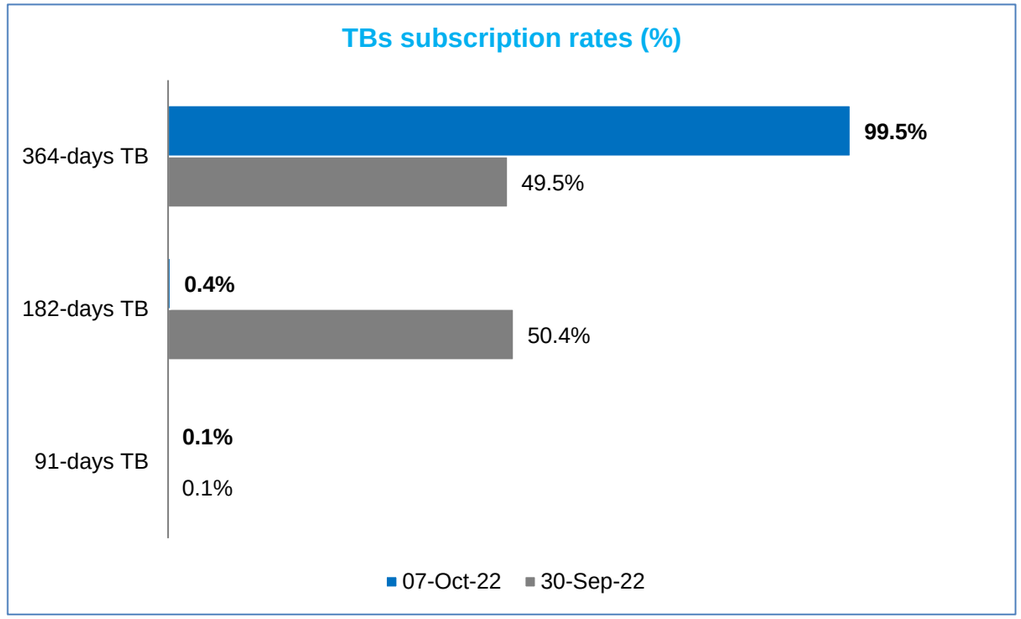
*A total of MK6.40 billion was awarded in this week's Treasury Bills (TBs) auctions.*

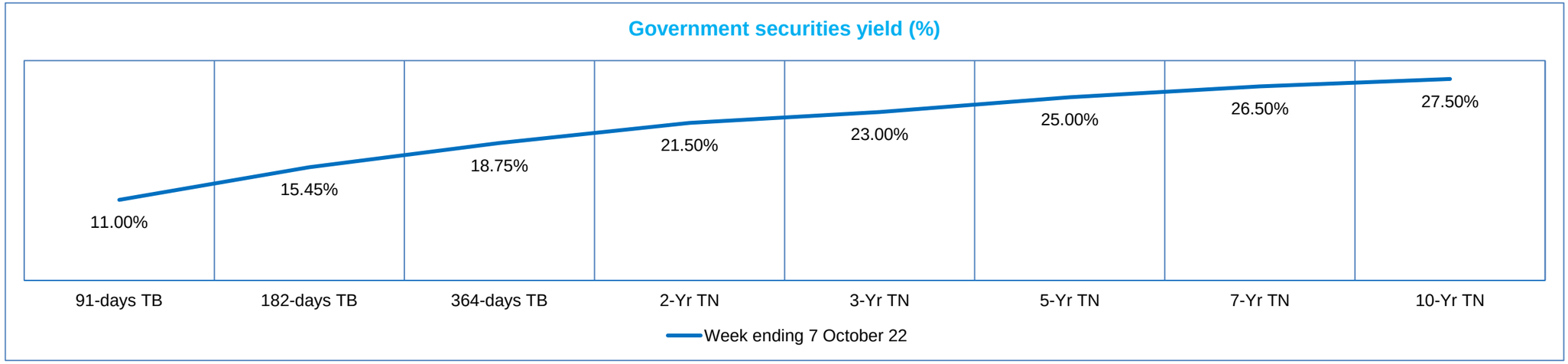
*The 364-days TB had the highest subscription rate at 99.5% during the period under review.*

*The TBs auctions had a nil rejection rate.*

*The average TB yield marginally decreased to 15.07% from 15.08% during the week under review.*




*TB: Treasury Bill*
*TN: Treasury Note*
*Yr: Year*

# Appendix 1: Historical Economic Indicators

Bridgepath Capital
Invest to Achieve

| | Apr-21 | May-21 | Jun-21 | Jul-21 | Aug-21 | Sep-21 | Oct-21 | Nov-21 | Dec-21 | Jan-22 | Feb-22 | Mar-22 | Apr-22 | May-22 | Jun-22 | Jul-22 | Aug-22 | Week ending 7 Oct-2022 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Exchange rates (middle rates)** | | | | | | | | | | | | | | | | | | |
| MK/USD | 797.66 | 800.17 | 811.95 | 817.43 | 820.40 | 822.17 | 821.34 | 822.88 | 818.44 | 822.81 | 822.10 | 823.60 | 823.67 | 1,029.90 | 1,033.36 | 1,035.03 | 1,035.42 | **1,026.43*** |
| MK/GBP | 1,164.37 | 1,191.58 | 1,192.94 | 1,203.74 | 1,196.67 | 1,168.72 | 1,201.21 | 1,194.23 | 1,208.01 | 1,211.73 | 1,283.92 | 1,214.22 | 1,150.18 | 1,380.71 | 1,289.26 | 1,296.86 | 1,240.77 | **1,176.80*** |
| MK/EUR | 1,035.48 | 1,042.52 | 1,032.04 | 1,048.56 | 1,044.60 | 1,026.14 | 1,037.74 | 1,099.91 | 1,138.47 | 1,072.50 | 1,170.30 | 1,031.32 | 966.40 | 1,180.96 | 1,108.47 | 1,085.01 | 1,066.19 | **1,033.44*** |
| MK/ZAR | 59.33 | 62.28 | 61.42 | 60.79 | 60.90 | 58.90 | 59.04 | 57.21 | 57.68 | 61.82 | 64.84 | 66.90 | 59.34 | 72.04 | 65.02 | 64.13 | 62.49 | **58.71*** |
| **Foreign Exchange Reserves** | | | | | | | | | | | | | | | | | | |
| Gross Official Reserves (USD'mn) | 392.01 | 414.41 | 424.99 | 404.18 | 604.50 | 521.87 | 405.66 | 389.26 | 429.17 | 399.98 | 385.40 | 374.48 | 363.27 | 388.22 | 415.73 | 372.99 | 378.89 | **N/A** |
| Private Sector Reserves (USD'mn) | 392.61 | 369.64 | 388.78 | 405.79 | 389.47 | 386.05 | 384.75 | 404.81 | 425.52 | 424.49 | 407.22 | 391.49 | 362.84 | 401.13 | 401.60 | 396.02 | 398.43 | **N/A** |
| Total reserves (USD'mn) | 784.62 | 784.05 | 813.77 | 809.97 | 993.97 | 907.92 | 790.41 | 794.07 | 854.69 | 824.47 | 792.62 | 765.97 | 726.11 | 789.35 | 817.33 | 769.01 | 777.32 | **N/A** |
| Gross Official Reserves Import cover (months) | 1.88 | 1.77 | 1.70 | 1.62 | 2.42 | 2.09 | 1.62 | 1.56 | 1.72 | 1.60 | 1.54 | 1.50 | 1.45 | 1.55 | 1.66 | 1.49 | 1.52 | **N/A** |
| **Inflation** | | | | | | | | | | | | | | | | | | |
| Headline | 9.2% | 8.9% | 9.1% | 8.7% | 8.4% | 8.9% | 9.8% | 11.1% | 11.5% | 12.1% | 13.0% | 14.10% | 15.70% | 19.10% | 23.50% | 24.6% | 25.5% | **N/A** |
| Food | 11.5% | 11.0% | 11.1% | 10.3% | 9.7% | 10.9% | 11.8% | 12.8% | 13.6% | 14.2% | 15.3% | 17.10% | 19.50% | 25.50% | 31.20% | 32.5% | 33.4% | **N/A** |
| Non-food | 7.0% | 7.1% | 7.2% | 7.2% | 7.2% | 7.2% | 7.8% | 9.5% | 9.5% | 9.6% | 10.1% | 10.50% | 12.20% | 13.20% | 16.60% | 17.5% | 18.2% | **N/A** |
| **Interest Rates** | | | | | | | | | | | | | | | | | | |
| Monetary Policy rate | 12.00% | 12.00% | 12.00% | 12.00% | 12.00% | 12.00% | 12.00% | 12.00% | 12.00% | 12.00% | 12.00% | 12.00% | 12.00% | 14.00% | 14.00% | 14.00% | 14.00% | **14.00%** |
| Average Interbank rate | 11.72% | 13.36 % | 11.94% | 11.96% | 11.98% | 11.98% | 11.98% | 11.98% | 11.98% | 11.15% | 11.70% | 11.70% | 11.70% | 11.84% | 12.48% | 12.50% | 12.50% | **12.50%** |
| Average base lending rate | 12.10% | 12.10% | 12.20% | 12.20% | 12.20% | 12.20% | 12.20% | 12.20% | 12.20% | 12.20% | 12.20% | 12.20% | 12.20% | 13.50% | 13.80% | 13.90% | 14.20% | **14.20%** |
| **Government Securities' Yields** | | | | | | | | | | | | | | | | | | |
| 91-days Treasury Bill | 9.88% | 9.98% | 9.62% | 9.33% | 9.60% | 9.59% | 9.60% | 9.58% | 9.70% | 9.70% | 9.47% | 9.74% | 9.57% | 9.75% | 9.75% | 10.00% | 11.00% | **11.00%** |
| 182-days Treasury Bill | 12.77% | 12.80% | 12.81% | 12.96% | 12.96% | 12.98% | 12.98% | 12.98% | 13.00% | 13.00% | 12.99% | 13.00% | 13.00% | 15.00% | 15.005 | 15.00% | 15.50% | **15.45%** |
| 364-days Treasury Bill | 13.80% | 13.83% | 13.87% | 12.06% | 14.08% | 14.20% | 14.20% | 14.22% | 14.47% | 15.00% | 15.00% | 15.00% | 15.00% | 17.03% | 17.60% | 17.74% | 18.33% | **18.75%** |
| 2-year Treasury Note | 16.50% | 16.51% | 16.65% | 16.63% | 16.63% | 16.63% | 16.64% | 16.64% | 16.66% | 16.70% | 16.70% | 17.00% | 17.00% | 18.50% | 18.85% | 20.50% | 21.00% | **21.50%** |
| 3-year Treasury Note | 18.80% | 18.80% | 18.97% | 19.00% | 18.99% | 18.99% | 18.99% | 19.00% | 19.05% | 19.04% | 19.33% | 19.50% | 19.50% | 21.90% | 22.00% | 22.00% | 23.00% | **23.00%** |
| 5-year Treasury Note | 19.98% | 19.98% | 20.08% | 20.00% | 20.09% | 20.26% | 20.44% | 20.53% | 20.54% | 20.78% | 20.78% | 21.00% | 21.00% | 23.95% | 24.00% | 24.00% | 25.00% | **25.00%** |
| 7-year Treasury Note | 20.50% | 20.50% | 20.59% | 20.98% | 21.36% | 21.36% | 21.36% | 21.15% | 20.94% | 20.94% | 21.98% | 22.00% | 22.00% | 22.33% | 22.33% | 25.53% | 26.75% | **26.50%** |
| 10-year Treasury Note | 22.50% | 22.50% | 21.85% | 22.54% | 23.01% | 23.25% | 23.00% | 22.50% | 22.50% | 22.98% | 22.98% | 22.98% | 23.35% | 23.35% | 27.00% | 27.00% | 27.00% | **27.50%** |
| **Stock Market Indices** | | | | | | | | | | | | | | | | | | |
| MASI | 33,380.63 | 33,676.89 | 35,144.56 | 36,496.03 | 38,945.62 | 41,550.15 | 41,458.37 | 41,565.98 | 45,367.68 | 44,501.63 | 45,472.09 | 45,921.23 | 46,934.16 | 50,300.44 | 49,596.14 | 52,889.87 | 54,454.45 | **54,369.11** |
| DSI | 28,257.89 | 28,376.03 | 28,739.26 | 29,749.56 | 31,959.22 | 34,266.54 | 34,188.36 | 34,284.11 | 37,061.70 | 36,322.34 | 37,186.63 | 37,584.34 | 37,283.40 | 39,037.30 | 39,011.21 | 42,717.13 | 44,109.31 | **44,364.63** |
| FSI | 1,844.72 | 2,030.51 | 3,234.45 | 3,479.97 | 3,479.97 | 3,450.70 | 3,450.25 | 3,450.24 | 4,223.15 | 4,183.22 | 4,182.23 | 4,184.71 | 5,720.11 | 7,305.55 | 6,538.52 | 5,548.61 | 5,548.61 | **5,125.56** |

**: Reserve Bank of Malawi opening exchange rates as of 7 October 2022*

## *Disclaimer*

Although every effort was made to ensure the information in this report is authentic, the report should only be used for indicative purposes. Bridgepath Capital Limited accepts no responsibility or liability resulting from usage of information from this report. Every recipient using this report should make independent efforts to ascertain the accuracy of the information.

## Contact Information

Bridgepath Capital Limited

1st Floor (106), Development House

Corner Henderson Street Road

P.O. Box 2920

Blantyre

Tel No: + 265 1 828 355

Email: info@bridgepathcapitalmw.com

Website: www.bridgepathcapitalmw.com

## *Our Financial Advisory Solutions*

We provide a range of financial advisory solutions to meet your needs and challenges:

- **Valuations**
- **Business/Financial Modeling**
- **Independent Business Reviews**
- **Mergers and Acquisitions Transaction Services**
- **Business Plans/feasibility studies/Financial Projections**
- **Project Finance Advisory**
- **Capital Raising**
- **Equity/IPO Advisory**